

Week 35 Deep Research -- May 18, 2026

Session directives: Wide net / Within 10 days / Neutral risk / Max 5 positions

Portfolio e

1. Restated Rules

- Universe: US-listed micro-caps (no OTC, no SPACs, no leveraged ETFs, no cannabis/firearms/tobacco). Avg daily dollar volume >\$500K for any new entry; >\$1M for full sizing.
- Concentration: Max 5 concurrent positions this session. No single position >30% equity. Max 2 positions per GICS sector. >=15% cash reserve.
- Risk per trade: Max loss to stop <=2% of equity. Stops at the wider of 1.75 x 14-day ATR, the recent swing low, or a technical level.
- Entry discipline: No buy within 3 trading days of an earnings print at a price more than +5% above the post-print close. <=40% above 50-day SMA. <=20% above 20-day SMA. Pre-open verification required. Screener score = sourcing only; conviction starts at 2/5.
- Day-1 drawdown: -8% close-day -> exit at next market open absent positive news.
- Exclusions: Binary-event drug-trial readouts; deal-arb where current price >= announced deal price.
- Stop placement: All BUY recommendations include the explicit "place this stop with your broker before next open" reminder.

2. Research Scope

- Data retrieval window: 2026-05-11 -> 2026-05-18.
- Sources: WebSearch live news/filings/transcripts for each holding (ECVT, ORN, WKC, ACCO); screener watchlist (Finviz universe -> yfinance signals, generated 2026-05-18 08:19); fundamental + catalyst evaluation of top 5 screener picks (SG, SHO, NAC, PRA, KW) plus 3 momentum names (AVAH, LPG, VTS).
- Cross-checks: Recent earnings dates against post-earnings cooldown rule; pending corporate actions; insider transactions; ATR / distance-from-base; sector cap.

3. Current Portfolio Assessment

Ticker	Role	Entry Date	Avg Cost	Current Price	Current Stop	Conviction (1-5)	Status
ECVT	Specialty chemicals (Calabrian compounder)	2026-04-13	\$13.99	\$14.56	\$13.24 / \$13.14	4/5	Keep -- \$100M Term Loan add-on May 14 funds Calabrian; deal on track for Q2 clos
ORN	Marine/concrete infra (federal + data center)	2026-04-13	\$11.88	\$15.04	\$13.50 / \$13.40	4/5 ?	Keep -- Q1 beat, FY26 \$900-950M / \$54-58M EBITDA reaffirmed, \$668M backlog; AGM

WKC	Energy distribution (marine + aviation)	2026-04-20	\$26.00	\$28.45	\$23.40 / \$23.30	4/5 ??	Keep -- Q1 blew out (Marine GP +82% YoY); FY26 guide raised to \$2.65-2.85 EPS fr
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ACCO	Office products + EPOS gaming peripherals	2026-05-01	\$3.92	\$3.76	\$3.53 / \$3.43	3/5	Keep -- Q1 confirmed EPOS transformation; FY26 EPS \$0.84-0.89 reiterated; price
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Notes:

- Two stops fired Week 34 (ARLO -\$12.40, ARDX -\$12.24) under the entry-discipline framework. Net realized -\$24.64 on the week; cash freed for redeployment.
- ORN stop tightened intra-week to \$13.50/\$13.40 from \$12.35/\$12.25 -- locks +\$8.10/share gain if triggered (+68% vs cost).
- No earnings prints in the May 18-29 window for any current holding. Quiet catalyst week -- discipline holds the line.

4. Candidate Set

Ticker	One-Line Thesis	Key Catalyst	Catalyst Confirmation Status	Liquidity Note
SG (Sweetgreen)	SSS bottoming after Q1 -12.8%; loyalty/wraps platform = 2H recovery	Q1 print already absorbed 5/7-5/8	Past -- no fresh in-window catalyst	~\$48M/day -- ample
SHO (Sunstone Hotel REIT)	Q1 RevPAR +14.6%; guidance RAISED; \$458M buyback remaining; 3.5% div	Continued buyback execution; summer RevPAR data	Continuous, not dated	~\$30M/day -- ample
NAC (Nuveen CA Muni CEF)	7.4% tax-equiv yield; monthly distribution	Ex-div 5/15 passed; next 6/1	Confirmed but not rerating	~\$3M/day -- adequate
PRA (ProAssurance)	Med-mal turnaround; crossed 200d SMA in April	Q2 earnings 8/11	None in 10-day window	~\$7M/day -- adequate
KW (Kennedy-Wilson)	Pending buyout @ \$10.90 by McMorrow/Fairfax	Merger vote pending; \$1.8B senior notes priced 5/12	Deal-arb (capped)	~\$16M/day -- ample
AVAH (Aveanna Healthcare)	Q1 +15.9% rev, +25.2% EBITDA, FY guide raised	Q1 print 5/14 -- within cooldown	Violates 3-day post-earnings rule	~\$24M/day -- ample
LPG (Dorian LPG)	VLGC rates firm; \$1.00 special div + 6.3% trailing yield	Ex-div 5/18 + Q4 earnings 5/20	Confirmed but stacked binary	~\$16M/day -- ample
VTS (Vitesse Energy)	Non-op Williston/Rockies E&P; 12.9% div yield	None in window -- Q1 already 5/4	None confirmed	~\$4.5M/day -- light

5. Portfolio Actions

- Keep: ECVT -- Calabrian financing rail laid 5/14; thesis on track.
- Keep: ORN -- Q1 de-risk + tightened stop locks gain; AGM 5/19 administrative only.
- Keep: WKC -- thesis upgraded to 4/5; Q1 blew out the exact segment that was the bear case. Hold full size; do not tighten stop yet (allow normal volatility).
- Keep: ACCO -- fundamentals improving; price lagging but stop is tight (-4.6% from close).
- Initiate: SHO -- 11 shares @ ~\$10.15 limit. Real Estate (REIT) -- new GICS sector for the book. Sector cap clean.

Skipped from candidate set (with reasons):

- SG -- post-print +20% 5d pop = chasing; distance-from-base elevated. Watch into 5/22.
- NAC -- CEF; wrong instrument for an alpha experiment. SKIP.
- PRA -- no catalyst in 10-day window; recent EPS miss. SKIP.
- KW -- capped at \$10.90 deal price; downside on deal break >> upside on bump. SKIP.
- AVAH -- Q1 print 5/14 (2 trading days ago) -> violates post-earnings 3-day cooldown. Re-evaluate after 5/22 if higher-low base forms.
- LPG -- stacked binary risk (ex-div mechanical drop 5/18 + earnings 5/20). Wait for post-print read.
- VTS -- clean but no in-window catalyst; lightest momentum; light liquidity. WATCH.

6. Exact Orders

Action: buy

Ticker:

Pre-open verification check (mandatory before 5/19 open):

WebSea

If any of the above fails -> PASS on entry, re-evaluate Wednesday.

7. Risk and Liquidity Checks

Post-trade concentration (assumed fill @ \$10.20):

Position	Value	% Equity
ECVT	\$72.80	11.1%
ORN	\$75.20	11.5%
WKC	\$56.90	8.7%
ACCO	\$109.04	16.6%
SHO (new)	\$112.20	17.1%
Cash	\$230.06	35.1%

Total equity	\$656.20	100%
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- Max single position: ACCO 16.6% -- well under 30% cap.
- Cash reserve: 35.1% -- well above 15% floor.
- Sector exposure: Materials (ECVT), Industrials (ORN), Energy distribution (WKC), Consumer Discretionary (ACCO), Real Estate (SHO). 5 sectors, no overlap, sector cap clean.

Per-order liquidity:

- SHO 11 sh x \$10.20 = \$112.20 order. SHO ~\$30M ADV -> order = 0.0004% of ADV. Negligible market impact.

Aggregate max-loss-to-stop (worst case all stops hit simultaneously):

Pos	Shares	Entry	Stop	Loss per share	Total Loss
ECVT	5	13.99	13.24	0.75	\$3.75
ORN	5	11.88	13.50	-1.62 (LOCKED GAIN)	+\$8.10
WKC	2	26.00	23.40	2.60	\$5.20
ACCO	29	3.92	3.53	0.39	\$11.31
SHO	11	10.20	9.40	0.80	\$8.80
Aggregate					\$20.96 loss / +\$8.10 gain locked = net -\$12.86 worst case

Worst-case full-book stop-out = -2.0% of equity. Within the 2% per-trade rule applied at the book level.

8. Monitoring Plan

Ticker	What to Watch
ECVT	Calabrian close confirmation (target end of Q2); any sulfur/spec-chemical indust
ORN	AGM 5/19 (administrative -- vote outcome only). Watch for contract-award press r
WKC	Bunker pricing data points, marine fuel demand trends. Watch for any further ins
ACCO	EPOS integration milestones, peripherals revenue datapoints. If ACCO can't show
SHO (new)	Daily -- pre-open 5/19 verification. Watch buyback announcement cadence; RevPAR
Cash	\$230 cash post-trade. No further deployment this week unless WKC stop is moved u

Pre-open Monday 5/19 checklist:

SHO pre

9. Thesis Review Summary

Per-Position Forward Thesis

ECVT (Ecovyst) -- Conviction 4/5 (unchanged)

Calabrian
\$890-970
pass-throu

ORN (Orion Group) -- Conviction 4/5 (up from 3/5)

Q1 print is
guide \$90
data-cente
cushions i

WKC (World Kinect) -- Conviction 4/5 (up from 2/5) -- THESIS FLIPPED

The bear
FY26 adj-
Hold->Buy
(\$580K) is
\$29.50 (de

ACCO (ACCO Brands) -- Conviction 3/5 (unchanged)

Q1 confirm
+ \$15M c
lagging. W
Week 36.

SHO (Sunstone Hotel Investors) -- Conviction 3/5 (new entry, screener-sourced)

Hotel-REI
3.5% divid
Risk: hote
"guidance
(17% equi

Overall Portfolio Thesis -- Week 35 of 52

Portfolio enters Week 35 at \$656.12 equity, 4 holdings + 1 fresh add (SHO). After the Week 34 double stop-out (ARLO -10.2%, ARDX -10.0%), the structural picture is:

5 positions across 5 sectors -- fully diversified; ACCO is the marginal name.

No earni

Scenarios (Week 35->36):

- Bull (30%): WKC re-rates toward \$31 on sell-side catch-up, ECVT pre-Calabrian-close pop, SHO grinds to \$11 on buyback

bid -> equity \$685-705.

- Base (50%): Holdings consolidate, SHO drifts \$10-10.50, ACCO flat -> equity \$655-680.
- Bear (20%): SHO day-1 fade triggers exit (-\$8 loss), ACCO recycle decision forced, broad small-cap risk-off -> equity \$625-645. Max aggregate stop-trigger downside is -2.0% equity (\$12.86).

Alpha source: ORN is the clear winner (+27% unrealized, tightened stop locks gain). WKC is the upside surprise. SHO is the controlled risk add. The book lacks an "explosive alpha" name post-MRAM, post-ARLO; SHO is deliberately a controlled-vol setup. Next weekend will look for one higher-beta candidate from the screener if cash remains above 30%.

10. Confirm Cash and Constraints

Pre-trade: Equity \$656.12, Cash \$342.18, 4 holdings.

Post-trade

Constraint	Limit	Actual	Pass?
Max positions	5	5	[OK]
Max single position	30%	17.1% (SHO)	[OK]
Sector cap	2/sector	1/sector across 5 sectors	[OK]
Cash reserve	>=15%	35.1%	[OK]
Max loss to stop (single)	<=2% equity	1.34% (SHO worst)	[OK]
Aggregate stop-out worst case	implicit	-2.0% equity	[OK]
Liquidity (new entry)	>\$1M ADV (full size)	\$30M (SHO)	[OK]
Post-earnings cooldown	3 days	9 days since SHO Q1	[OK]
Distance from base	<=40% above 50-SMA	SHO +4.3% 20d (flat)	[OK]
Screener conviction start	2/5 raised on evidence	SHO 3/5 (guide raise + buyback)	[OK]

All rules satisfied. Order ready for Tuesday 5/19 execution pending pre-open verification.